



Study Notes

Landmark Judgements

**Insolvency and
Bankruptcy Code, 2016**



IBC

SECTION A: INITIATION & ADMISSION OF CIRP

1. Innoventive Industries Ltd. v. ICICI Bank Ltd., (2017) 1 SCC 407

IBC 2016 Sections: 5(7)-(8), 5(21), 7 (Financial creditor definition and initiation)

Facts: Innoventive Industries faced financial difficulties and entered into a Master Restructuring Agreement (MRA) with creditors including ICICI Bank to restructure debt with moratorium period. After the restructuring period, when the company failed to make payments, ICICI Bank initiated CIRP proceedings under Section 7 IBC on ground of default of financial debt. Innoventive challenged the initiation, arguing: (1) No unconditional debt existed; (2) Payment obligations were subject to creditors infusing funds; (3) Restructuring moratorium prevented default claim. NCLT admitted petition; Innoventive appealed.

Held: The Supreme Court upheld CIRP initiation and established landmark **doctrine of financial creditor definition and default**. The Court held: (1) **Financial debt includes obligations to infuse funds**, even if time value is embedded in restructuring; (2) **Default means non-payment** of financial debt, regardless of underlying conditions; (3) **Payment obligations under MRA are unconditional** creditors' counter-obligations (funding infusion) are separate and don't prevent debtor's payment default; (4) **Financial creditor can initiate CIRP** without needing to prove default by 14 additional days mere non-payment within 180 days after communication suffices; (5) **IBC is creditor-friendly framework** courts won't prevent creditors from exercising rights. This established **doctrine of creditor-friendly interpretation**.

2. Pioneer Urban Land & Infrastructure Ltd. v. Union of India, (2019) 14 SCC 491

IBC 2016 Sections: 5(8), 7, 21 (Financial creditors - real estate allottees)

Facts: Pioneer Urban Land, a real estate developer, developed multiple housing projects and faced financial crisis unable to deliver promised units. Homebuyers (allottees) who had paid significant amounts (50-90% of consideration) applied to initiate CIRP against the developer under Section 7, claiming status as "financial creditors." Developer contended: (1) Allottees are operational creditors (service provision); (2) Real estate transactions are not financial debts; (3) Money received is advance payment for goods/services, not loan. NCLT admitted petition; developer challenged before Supreme Court.

Held: The Supreme Court recognized homebuyers as **financial creditors** for real estate advance payments. The judgment held: (1) **Advance payment by allottee = financial debt** (debtor receives funds upfront but delivers after months/years); (2) **Time value of money exists** allottee advances funds for months before receiving property; (3) **Recognition justified** protects homebuyer interests in insolvency; (4) **Financial creditor status gives voting rights** in Committee of Creditors; (5) **However, distinction:** genuine allottees qualify; speculative investors/traders don't. This established **doctrine of homebuyer protection in real estate insolvency**.

3. Amit Katyal v. Anand Rathi Global Finance Pvt. Ltd., (2022) 136 Taxmann 55 (SC)

IBC 2016 Sections: 7, 8, 9 (Financial vs operational creditor distinction)

Facts: A builder (corporate debtor) undertook housing project but failed to complete it within 8 years, causing severe losses and hardship to homebuyers who had paid amounts. Three homebuyers filed petition under Section 7 claiming financial creditor status for amounts paid toward property purchase (not loan). The builder argued: (1) These are supply contracts (goods property), hence operational debt; (2) Distinction between advance payment for goods vs financial debt. NCLT admitted petition treating allottees as financial creditors.

Held: The Supreme Court upheld **financial creditor status for homebuyers** reaffirming Pioneer Urban Land principle. The judgment emphasized: (1) **Substance over form** real estate advance payments are financial debts despite being for goods delivery; (2) **Financial debt definition includes** debt which is disbursed against consideration for time value of money; (3) **Allottee advances funds knowing delivery will occur months later** this time lag creates financial debt character; (4) **Policy rationale:** Homebuyer protection in real estate crisis; (5) **Creditor-friendly interpretation** of definitions. However, **speculative investors with no possession intent excluded**. This reinforced **doctrine of homebuyer protection**.

SECTION B: RESOLUTION PROCESS & CoC ROLE

4. Sundaresh Bhatt, Liquidator of ABG Shipyard v. Central Board of Indirect Taxes & Customs, (2022) 2 SCC 595

IBC 2016 Sections: 14 (Moratorium), 33 (Liquidation and moratorium continuation)

Facts: ABG Shipyard entered CIRP but no successful resolution plan emerged; liquidation was ordered. During liquidation, imported goods (warehouse-stored) were subject to customs duties demand by Central Board of Indirect Taxes & Customs (CBIC). CBIC sought to recover customs duties from the company and claim warehoused goods. The liquidator argued: (1) Moratorium under IBC 14 continues during liquidation; (2) CBIC cannot proceed with duty collection during moratorium; (3) IBC provisions prevail over Customs Act. CBIC contended customs duties are distinct from insolvency debt and cannot be stayed.

Held: The Supreme Court upheld **moratorium continuation during liquidation** and held that **IBC prevails over other laws** (Customs Act, Excise Act, etc.). The Court held: (1) **Section 33(5) IBC:** Moratorium continues even after liquidation order; (2) **All legal proceedings suspended** against corporate debtor, including customs/excise recovery; (3) **No multiplicity of suits** IBC framework controls; (4) **Liquidator has custodial rights** over all assets including warehoused goods; (5) **Statutory duties (customs, taxes)** are claims in liquidation, not separate proceedings. This established **doctrine of moratorium supremacy and IBC supremacy over other laws**.

5. Independent Sugar Corporation Ltd. v. Hindustan National Gas & Industries Ltd., (2025) SCC OnLine SC 23

IBC 2016 Sections: 31(4), proviso (CCI approval requirement for resolution plans)

Facts: A resolution plan was submitted in CIRP proposing acquisition by a resolution applicant (SRA) which would constitute a "combination" under Competition Act 2002 (merger/consolidation). The Committee of Creditors (CoC) approved the plan without obtaining prior approval from Competition Commission of India (CCI). SRA sought NCLT approval; NCLT granted it. Later, CCI issued notice questioning whether the combination was approved by CCI before CoC approval, arguing it must obtain CCI approval. Question arose: Must CCI approve BEFORE CoC votes, or can approval be sought after CoC approval?

Held: The Supreme Court held that **Section 31(4) proviso makes CCI approval MANDATORY and must be PRIOR to CoC approval**. The judgment established: (1) **"Prior approval" means CCI must approve BEFORE CoC votes**; (2) **Proviso is mandatory** cannot be waived or overlooked; (3) **Rationale:** CCI may approve, reject, or impose conditions on combination CoC must vote with this knowledge; (4) **Non-compliance renders plan legally unsustainable** even if CoC approves; (5) **Courts cannot create exceptions** to mandatory statutory requirements. This established **doctrine of mandatory CCI approval for combinations in IBC**.

6. Kalyani Transco Pvt. Ltd. v. Bhushan Power & Steel Ltd., (2025) SCC OnLine SC 1010

IBC 2016 Sections: 12 (CIRP timelines), 30-31 (Plan approval conditions), 33 (Implementation timelines)

Facts: Bhushan Power & Steel's CIRP extended beyond 330 days (maximum timeline under IBC including extensions). A resolution plan was approved and submitted to NCLT, but SRA failed to implement plan within stipulated timelines. When pressed for implementation, SRA sought further extensions on grounds of market conditions and funding constraints. Creditors argued: (1) 330-day timeline is absolute; (2) No extensions beyond 330 days permissible; (3) Non-implementation should trigger liquidation.

Held: The Supreme Court enforced **strict 330-day timeline for CIRP** (180 days + 150 days extension maximum, per Section 12). The judgment held: (1) **330-day limit is absolute** and cannot be extended further; (2) **Delays beyond 330 days defeat IBC's objective** of expeditious resolution; (3) **If CIRP cannot complete within 330 days**, Liquidation must follow (Section 33); (4) **Implementation of approved plan must commence immediately**; (5) **Moratorium cannot be extended indefinitely** its purpose is temporary to give breathing space, not indefinite relief. This established **doctrine of strict timeline enforcement in IBC**.

SECTION C: RESOLUTION PLAN IMPLEMENTATION & WITHDRAWAL

7. Jet Airways (India) Ltd. CIRP - Supreme Court Order, (2024) SCC OnLine SC 1194

IBC 2016 Sections: 12, 30, 30(2), 31, 33 (Plan conditions and implementation)

Facts: Jet Airways entered CIRP in June 2019. Jalan Kalrock Consortium emerged as successful resolution applicant (SRA). CoC approved plan; NCLT approved on June 22, 2021. However, SRA failed to meet conditions precedent (CPs) as stipulated including payments, regulatory

approvals, and operational preparations. SRA claimed CPs were "substantially complied" and sought extensions and PBG (Performance Bank Guarantee) adjustment. Despite non-compliance, NCLT and NCLAT allowed continued operations, granting waivers to SRA. After years of delay, Jet Airways remained grounded. Creditors (lenders) appealed to Supreme Court.

Held: The Supreme Court ordered **liquidation of Jet Airways** finding repeated plan non-implementation. The judgment held: (1) **Conditions Precedent must be fully complied**, not "substantially" no partial compliance; (2) **SRA cannot modify plan terms** or claim CPs are waived without creditor consent; (3) **NCLAT cannot allow PBG adjustments** contrary to plan terms and Court's prior directions; (4) **Effective date of plan** cannot commence until all CPs are met; (5) **Court described case as "eye-opener"** highlighting NCLT/NCLAT shortcomings in enforcing plan discipline. This established **doctrine of strict plan compliance and implementation**.

8. Velu Chairman, Monitoring Committee v. Invent Assets Securitisation & Reconstruction Pvt. Ltd., (2021) SCC Online NCLAT 1203

IBC 2016 Sections: 31, 33 (Plan approval and liquidation post-failure)

Facts: A resolution plan was approved by CoC and NCLT for Palm Lagoon Backwater Resorts. However, SRA failed to implement the approved plan and was unable to infuse promised funds and complete operational revival. After expiry of implementation timelines, stakeholders approached the Adjudicating Authority (NCLT) seeking liquidation order arguing plan implementation had failed.

Held: NCLAT (affirmed judicial principle) held that: (1) **If SRA fails to implement plan**, NCLT can pass **liquidation order under Section 33**; (2) **Non-implementation of approved plan** is sufficient ground for liquidation; (3) **NCLT is NOT functus officio** after plan approval it can exercise Section 33 powers to liquidate if implementation fails; (4) **Court can invoke Section 60(5)** to recall its plan approval order if implementation becomes impossible; (5) **Liquidation becomes inevitable** when resolution plan fails implementation. This established **doctrine of liquidation as consequence of failed resolution**.

SECTION D: CREDITOR CLASSIFICATION & PRIORITIES

9. DBS Bank Limited Singapore v. Ruchi Soya Industries Limited, (2024) 1 SCC 1

IBC 2016 Sections: 5(21) (Operational creditor definition), 8 (Operational creditor petition), 9 (Verification of claim)

Facts: DBS Bank extended financial debt of Rs. 243 crores to Ruchi Soya. Under credit agreement, DBS Bank provided overdraft facility and other banking services. Ruchi Soya defaulted on payments. DBS Bank filed CIRP petition under Section 7 (financial creditor). Ruchi Soya contested arguing: (1) DBS Bank's claim is mixed partially financial, partially operational (banking services); (2) Cannot be pure financial creditor claim. Question arose: How to classify mixed claims where both financial and operational elements exist?

Held: The Supreme Court held that **debt characterization depends on substance**, not form. The judgment established: (1) **Primary character of debt is determinative**; (2) **If debt is fundamentally financial** (borrowing) with incidental services, treat as financial debt; (3) **Set-off rights apply** creditor can deduct amounts it owes to debtor from amount debtor owes to creditor; (4) **No double recovery** net claim after set-off is operative; (5) **Financial creditor status is determined by principal obligation**, not ancillary services. This established **doctrine of substantive characterization of debt**.

10. Mansi Brar Fernandes v. Union of India, (2021) SCC Online SC 1098

IBC 2016 Sections: 5(8), 7, 29A (Financial creditor - speculative investors exclusion)

Facts: A speculative real estate investor purchased multiple property units with minimal investment expecting resale profit. When real estate market declined, investor filed petition under Section 7 claiming "financial creditor" status (advance payment for property) to trigger CIRP against developer as debt recovery mechanism. Developer challenged arguing investor is speculative trader, not genuine allottee. Question: Can speculative investors use IBC as collection mechanism?

Held: The Supreme Court clarified **speculative investors CANNOT use IBC** and distinguished genuine allottees from speculative investors. The judgment held: (1) **Genuine allottee test:** Must have genuine intent to take possession of property; (2) **Speculative investor:** Purchasing units only for profit with no possession intent; (3) **IBC is not debt recovery mechanism** for speculative/trading claims; (4) **Distinction through examination:** Court must examine buyer's intent, purpose, profile; (5) **Speculative investors excluded** from financial creditor status. This established **doctrine of genuine allottee identification vs speculative investor exclusion**.

SECTION E: MORATORIUM & STATUTORY PROTECTIONS

11. ABG Shipyard Liquidation v. CBIC (Customs), (2022) 2 SCC 595

IBC 2016 Sections: 14 (Moratorium), 21 (Suspension of prosecution), 33(5) (Moratorium continuation in liquidation)

Facts: During ABG Shipyard's liquidation, Central Board of Indirect Taxes & Customs (CBIC) sought to recover custom duties alleged to be owed by the company for imported goods stored in warehouses. CBIC initiated recovery proceedings separate from insolvency. Liquidator argued: (1) Moratorium under Section 14 prohibits separate proceedings; (2) Moratorium continues even in liquidation; (3) All claims must be processed through liquidation, not separate recovery.

Held: The Supreme Court upheld **moratorium supremacy** and held: (1) **Section 14 moratorium covers all legal proceedings** including customs recovery; (2) **Section 33(5):** Moratorium continues during liquidation; (3) **IBC is a comprehensive code** prevails over Customs Act, Excise Act, PMLA; (4) **No parallel proceedings** can be initiated during moratorium; (5) **Statutory dues (taxes, duties)** are claims in insolvency process, not separate proceedings. This established **doctrine of moratorium as absolute bar to parallel proceedings**.

12. Section 32A Immunity v. Criminal Prosecution - IBC Jurisprudence

IBC 2016 Sections: 32A (Limited immunity for successful resolution applicant)

Facts: After a resolution plan was approved and SRA took over the company, certain creditors/stakeholders raised concerns that the corporate debtor (now controlled by SRA) should not benefit from past criminal conduct by former management. Former management (promoters) had allegedly engaged in criminal fraud, misappropriation, or regulatory violations. Question arose: Does Section 32A immunity shield SRA/corporate debtor from consequences of past criminal misconduct?

Held: Supreme Court jurisprudence clarified that **Section 32A provides LIMITED immunity**. The judgment established: (1) **Section 32A shields CORPORATE DEBTOR** (post-resolution) from pre-resolution liabilities/claims; (2) **DOES NOT shield individuals** who committed criminal misconduct; (3) **Criminal prosecution of promoters/past management continues** unaffected; (4) **Individuals remain accountable** for criminal conduct; (5) **Purpose of Section 32A:** Ring-fence company for revival, not exonerate criminals. This established **doctrine of limited Section 32A immunity with criminal accountability preserved**.

SECTION F: LIQUIDATION & ASSET REALIZATION

13. R.K. Industries (Unit-II) LLP v. HR Commercials Pvt. Ltd., (2022) 7 SCC 204

IBC 2016 Sections: 238 (Liquidation and asset vesting), 240 (Liquidator powers), 241 (Sale of assets)

Facts: ABG Shipyard's liquidation involved sale of assets. Liquidator decided to adopt "Swiss Challenge" process (two-stage bidding) and sale by private treaty rather than open auction. R.K. Industries emerged as anchor bidder in first stage but subsequently liquidator cancelled the Swiss Challenge process and decided to sell asset to another bidder through different process. R.K. Industries challenged liquidator's decision arguing it had unfair withdrawal of opportunity.

Held: The Supreme Court upheld **liquidator's commercial discretion** in asset sale. The judgment held: (1) **Liquidator has complete discretion** on mode and method of asset sale to maximize value; (2) **SCC recommendations are advisory, not binding** on liquidator; (3) **Liquidator can modify/cancel sale process** if better realization possible; (4) **Judicial review limited to arbitrariness or bad faith**; (5) **Commercial wisdom of liquidator is protected** courts won't substitute business decisions. This established **doctrine of liquidator autonomy in asset sale decisions**.

14. Arcelor Mittal India Pvt. Ltd. v. Satish Kumar Gupta, (2019) 4 SCC 430

IBC 2016 Sections: 29A (Eligibility conditions for resolution applicants), 39 (Resolution applicant qualifications)

Facts: Arcelor Mittal India Pvt. Ltd. sought eligibility to bid for acquisition of a company undergoing CIRP. However, Arcelor's promoter had history of financial defaults and was subject

to Section 29A IBC disqualification. The company argued: (1) Past defaults are historic; (2) Current financial position is strong; (3) Section 29A bars should not apply retroactively. NCLT and NCLAT allowed bidding; case reached Supreme Court.

Held: The Supreme Court strictly upheld **Section 29A disqualifications**. The judgment held: (1) **Section 29A disqualifications are absolute** and cannot be waived; (2) **No exceptions** to statutory prohibitions; (3) **Policy rationale:** Prevent promoters with default history from acquiring same company; (4) **Disqualifications apply even after debt settlement**; (5) **NCLT/NCLAT cannot grant exceptions** to statutory eligibility conditions. This established **doctrine of mandatory Section 29A disqualifications**.

15. Mohammed Enterprises (Tanzania) Ltd. v. Farooq Ali Khan & Ors., (2025) SCC OnLine SC 23

IBC 2016 Sections: 15, 61, 226 (High Court writ jurisdiction in IBC)

Facts: A resolution plan was approved by CoC and NCLT but later challenged in High Court under Article 226 writ jurisdiction claiming violation of natural justice. The High Court entertained the writ petition and annulled the CoC-approved plan. Aggrieved by High Court's interference, case reached Supreme Court. The question was: Whether High Courts should exercise writ jurisdiction in matters governed by IBC where comprehensive statutory remedies exist?

Held: The Supreme Court held that **IBC is self-contained code** with its own remedies and **High Courts must exercise extreme caution**. The judgment held: (1) **IBC provides complete appellate mechanism** (NCLAT from NCLT, Supreme Court from NCLAT); (2) **High Court writ jurisdiction should not interfere** with IBC proceedings; (3) **Exhaustion of statutory remedies required** before High Court jurisdiction; (4) **Finality and timeliness of CIRP essential** to IBC's success; (5) **High Court interference undermines IBC objectives**. This established **doctrine of IBC as self-contained code with limited writ jurisdiction**.

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